TECHNOLOGY HARDWARE · UNITED STATES · NYSE: HPQ

HP Inc

A cash machine priced for decline: about 10x earnings and a 10% free-cash-flow yield

● OVERWEIGHT | Conviction idea | Conviction: Medium | 12 months

THE CALL INTRADAY, 29 OCT 2026	
Rating	● OVERWEIGHT
Price	$32.36
Base-case value Free-cash-flow yield	$39.14
Upside to base case	+21%
Market cap	$29.2bn
52-week range	$17.56 – $36.23

01 Overview

HP has been in the portfolio at all ten rebalances since June 2021: it is a permanent resident of the cheap end of the technology sector. In December 2025 it ranked 2nd of 128 IT stocks. This note explains the two halves of the business, why the market prices them for decline, and why the free-cash-flow yield is the right way to value it.

> HP generates about $3bn of free cash flow a year and returns most of it. At $32 the stock trades at about 10x fiscal 2026 earnings and a 10.6% FCF yield, as if printing were about to collapse. We think memory-cost pressure peaks now and the cost programme supports margins into fiscal 2027.

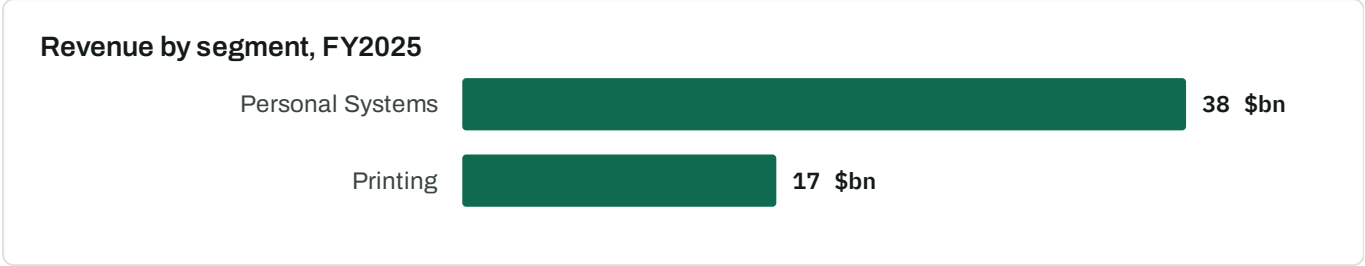
MARKET CAP	FY26 FCF GUIDE	P/E ON FY26 GUIDE	DIVIDEND YIELD
$29.3bn	$3.0-3.2bn	~10x	3.7%

02 The business

HP Inc is the PC and printer half of the old Hewlett-Packard, split in 2015. Personal Systems sells notebooks, desktops and workstations to companies and consumers. It is large ($38.5bn) but earns thin margins (about 5%), because PCs are assembled from components bought from others, mostly processors and memory.

Printing sells printers and, more importantly, the ink and toner they consume. Supplies are a recurring revenue stream with high margins (the segment earns 18-19%). Page volumes are falling as offices print less, so the segment shrinks about 2% a year.

HP returns most of its cash: about two thirds of free cash flow through dividends and buybacks. Years of buybacks have pushed book equity below zero, which is why P/B is meaningless and why our model scored HP on the other three ratios.



Personal Systems

PCs, workstations and peripherals: $38.5bn of FY2025 revenue at a 5.3% operating margin.

Printing

Supplies (ink and toner), hardware and industrial graphics: $16.7bn at an 18.7% margin.

Growth areas

AI PCs with dedicated neural processors, workstations and services.

Capital

Negative book equity after years of buybacks; net debt about $5bn (own calculation).

03 Industry & macro

Microsoft ended Windows 10 support in October 2025, which forced companies to replace old PCs. Personal Systems revenue rose 8%, 11% and then 18% in successive quarters, partly from higher prices.

The headwind is memory. DRAM and NAND prices rose sharply in 2026, and PC makers pay more for every machine. HP expects the peak in Q4 FY2026 (August to October).

Tariffs were the 2025 shock: HP moved production out of China. In February 2026 the Supreme Court ruled that IEEPA does not authorise tariffs, and HP is receiving refunds, which flatter FY2026 EPS by $0.19 one-off.

MEMORY PRICES

Q4 FY26

DRAM and NAND inflation squeezes PC margins; management expects the peak in Aug-Oct 2026.

WINDOWS 10 END OF SUPPORT

Oct 2025

Drove a commercial refresh: Personal Systems revenue +18% in Q3 FY2026.

US TARIFFS

$0.19

IEEPA tariffs struck down in February 2026; FY26 EPS includes $0.19 of one-off refunds.

AI PCS

Mix

Higher-spec machines lift average selling prices as the installed base renews.

04 What happened

The events that shaped the stock, in order.

25 Nov 2025
FY2025 results; $1bn cost programme with 4,000-6,000 job cuts; FY26 guide below consensus

2 Feb 2026
CEO Enrique Lores leaves for PayPal; Bruce Broussard interim CEO

20 Feb 2026
Supreme Court rules IEEPA tariffs unlawful

24 Feb 2026
Q1 FY26: steered to the low end of the range on memory costs

May 2026
Q2 FY26: range narrowed to $2.90-3.10

26 Aug 2026

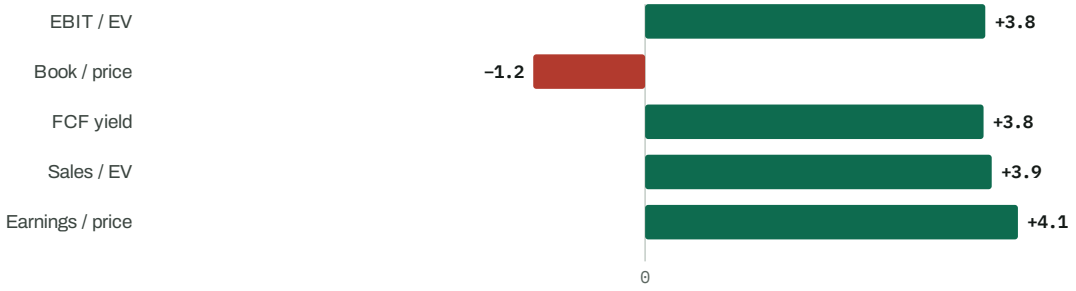
Q3 FY26 beat; guide raised to $3.19-3.29 and FCF to $3.0-3.2bn

05 Why the screen picked it

On the December 2025 score HP had z-scores of +4.2 on earnings-to-price, +3.9 on sales-to-EV, +3.8 on FCF yield and +3.8 on EBIT-to-EV within IT, and −1.2 on book-to-price because of negative equity. Its P/E was 6.8x against 20.4x for its peers on FY2024 accounts. The minimum-variance portfolio gave it 2.8%.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+2.54	**FY to 2024-10**	**2.0% / 2.8% / 0.5%**	**+8.7%**
rank 2 of 128 in Information Technology	year-end + 6-month lag	equal · min-var · mean-var	benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	HP INC	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	6.97x	18.52x	27.88x
P/B	—	1.62x	6.79x
P/FCF	6.00x	17.14x	31.05x
EV/Sales	0.50x	1.23x	6.00x
P/E	6.83x	20.44x	33.48x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2021-06, 2021-12, 2022-06, 2022-12, 2023-06, 2023-12, 2024-06, 2024-12, 2025-06, 2025-12.

06 Investment thesis

01 Cash yield is the valuation

FY2026 FCF guidance was raised to $3.0-3.2bn in August 2026: about 10.6% of the market cap at the midpoint. HP returned $1.9bn (66% of FCF) to shareholders in FY2025 and raised the dividend to $0.30 a quarter.

02 The margin squeeze is temporary

Management expects DRAM and NAND costs to peak in Q4 FY2026 (Aug-Oct) and Personal Systems margins (4.6% in Q3) to recover sequentially in FY2027. The $1bn gross savings programme runs to FY2028.

03 Printing still funds the story

Printing is 30% of revenue but earns an 18-19% margin. It declines about 2% a year, slowly enough to keep funding buybacks and dividends.

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
“Printing is in terminal decline.”	Revenue falls about 2% a year and the margin holds above 18%. A slow decline is priced as a fast one.
“FY2026 PC demand was pulled forward by Windows 10.”	Partly true. We use a base FCF of $3.0bn, below the guided midpoint, and exclude tariff refunds.
“An interim CEO means strategic risk.”	A permanent appointment, expected in the coming months, is more likely a catalyst than a threat.

08 Financials

LINE	FY2024	FY2025	Q3 FY2026	FY2026 GUIDE
Net revenue	$53.6bn	$55.3bn	$15.7bn	—
Personal Systems margin	—	5.3%	4.6%	trough
Printing margin	—	18.7%	18.1%	—
Non-GAAP diluted EPS	$3.43	$3.12	$0.83	$3.19-3.29*
Free cash flow	—	$2.9bn	$1.6bn	$3.0-3.2bn
Shareholder returns	—	$1.9bn	$0.3bn buyback	—

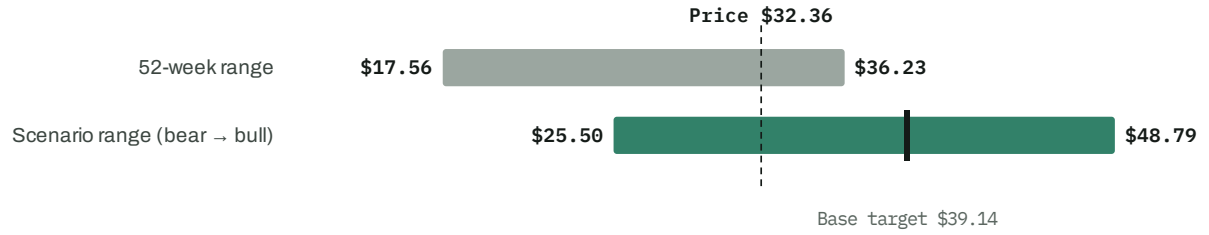
*Includes $0.19 of one-off tariff refunds. Fiscal year ends 31 October. FY2024 revenue derived from the +3.2% reported for FY2025. Sources: HP Q4 FY2025 and Q3 FY2026 releases.

09 Valuation

Method: Free-cash-flow yield. HP's value to an owner is the cash it can distribute. We divide sustainable free cash flow by a required yield (7.5-10%) and by 901.8m shares. The base case uses $3.0bn, the bottom of the guide, and excludes tariff refunds.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	FCF $2.3bn at 10.0% yield	$25.50	−21%	Printing decline accelerates; PC cycle turns
Base	**FCF $3.0bn at 8.5% yield**	**$39.14**	**+21%**	**FCF at the bottom of the FY26 guide**
Bull	FCF $3.3bn at 7.5% yield	$48.79	+51%	Memory relief and savings lift FY27 margins

Valuation range · base case marked



10 Catalysts

~25 Nov 2026
Q4 FY2026 results and first FY2027 outlook

Q4 FY26-H1 FY27
Memory-cost peak and sequential PC margin recovery

2026-2027
Appointment of a permanent CEO

To FY2028
$1bn gross run-rate savings, reported each quarter

FY2027
AI PC mix and the tail of the commercial refresh

11 Risks & sell rules

RISK	MITIGANT
Printing decline speeds up	Supplies are recurring; margin held above 18%
PC demand pulled forward into FY2026	Base case below the guide
Memory costs do not peak as guided	Pricing passed through in Q3
Negative equity and ~$5bn net debt	Payout flexible; buybacks can be cut first

WE CHANGE THE CALL IF

- FY2027 FCF guide below about $2.5bn
- Printing margin below 16%
- A dividend or buyback cut, or FY2027 EPS guide down y/y ex tariff refunds

The bear case, taken seriously

The bear case is that FY2026 was the best year of the PC cycle, helped by Windows 10 and price increases, while printing keeps shrinking. Strip out the tariff refunds and FY2026 EPS is close to the original guide. With negative equity and an interim CEO, there is little room for error.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why value HP on FCF yield rather than P/E?

Because the equity story is cash returned to owners, and FCF is less distorted by restructuring charges and tariff refunds.

Q Isn't printing a melting ice cube?

Yes, but slowly: about −2% a year with an 18% margin. At a 10% FCF yield the market prices a much faster melt.

Q What will you watch at the November results?

The FY2027 FCF guide (sell trigger below $2.5bn) and the memory-cost commentary.

Q Why did the model ignore negative book equity?

Book-to-price was negative and counted against HP (z −1.2), but the other three ratios dominated the composite.

13 Glossary

Free-cash-flow yield	Free cash flow divided by market cap; the cash return an owner would earn at today's price.
Non-GAAP EPS	Earnings per share excluding restructuring, amortisation and other items management treats as non-recurring.
Supplies	Ink and toner cartridges: the recurring, high-margin part of printing.
Negative equity	Liabilities exceed assets on the balance sheet, here because buybacks exceeded retained earnings.

14 Sources

S1 HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2025 Full Year and Fourth Quarter Results", 25 Nov 2025 · sec.gov

S2 HP Inc., Form 10-K for the fiscal year ended 31 Oct 2025, filed 10 Dec 2025 · sec.gov

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S5 HP Inc., Form 8-K Exh. 99.1, "HP Inc. Reports Fiscal 2026 Third Quarter Results", 26 Aug 2026 · sec.gov

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S7 investingLive, "HP Q4 revenue beats; 2026 EPS guidance trails, 4k-6k jobs to go", 25 Nov 2025 · investinglive.com

S8	Plante Moran, "Supreme Court strikes down IEEPA tariffs", Feb 2026 · plantemoran.com
S9	Futurum Group, "HP Q2 FY 2026 Earnings Emphasize AI PC Mix Shift Amid Cost Pressure", May 2026 · futurumgroup.com
S10	Massive, HPQ quote page (delayed quote, 52-week range, market cap, ratios), snapshot 29 Oct 2026 11:51 EDT · massive.com
S11	Earnings Whispers, HPQ earnings page (Q3 consensus; next report date) · earningswhispers.com

Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Dell Technologies, Hewlett Packard Enterprise, Logitech, Canon (pipeline peer set).

Student research for educational and interview purposes. Not investment advice. Prices as of intraday, 29 Oct 2026.